

SMID BREAKOUT SCANNER

SCAN (19:50 ET)

May 20, 2026 | 07:55 PM ET

13 setups identified | 3 A-Grade | 3 B-Grade | 7 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (3)	C - Watch List (7)
IMVT	MLYS	ARCO
LPG	KURA	CRVL
RXO	KELYA	TKR
		BDTX
		RH
		VOR
		BKKT

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	IMVT	Immunovant, Inc.	FcRn Immunology C	\$35.56	+35.3%	\$7.3B	77M	+25.9	98%	A major clinical data
A	LPG	Dorian LPG Ltd.	LPG Shipping Earn	\$47.72	+12.8%	\$2.0B	37M	+29.9	99%	An earnings beat today
A	RXO	RXO, Inc.	Freight Brokerage	\$23.85	+12.9%	\$3.9B	125M	+43.5	98%	A strong earnings beat
B	MLYS	Mineralys Therap	Aldosterone Biote	\$28.43	+9.2%	\$2.4B	60M	-5.8	60%	A combination of recen
B	KURA	Kura Oncology, I	Oncology Pipeline	\$10.34	+15.4%	\$0.9B	70M	+14.4	83%	A clinical data update
B	KELYA	Kelly Services,	Staffing Recovery	\$10.29	+6.1%	\$0.4B	29M	-1.7	69%	Two C-suite insiders m
C	ARCO	Arcos Dorados Ho	LatAm QSR Earning	\$9.08	+12.5%	\$1.9B	121M	-5.4	93%	Earnings today (May 20
C	CRVL	CorVel Corp.	Workers Comp Tech	\$64.26	+9.2%	\$3.3B	29M	+22.3	55%	An earnings beat today
C	TKR	Timken Company (	Industrial Bearin	\$117.20	+7.2%	\$8.1B	67M	+1.2	95%	A technical breakout f
C	BDTX	Black Diamond Th	Small-Cap Oncolog	\$3.60	+20.0%	\$0.2B	46M	+46.7	73%	Likely a clinical data
C	RH	RH	Luxury Retail Ear	\$133.16	+9.0%	\$2.5B	14M	-43.7	52%	Speculative positionin
C	VOR	Vor Biopharma In	Cell Therapy Micr	\$15.55	+10.1%	\$0.8B	44M	+7.0	24%	A clinical update or d
C	BKKT	Bakkt, Inc.	Crypto Infrastruc	\$10.18	+5.2%	\$0.5B	35M	-10.3	20%	Two insiders made open

SETUP METRICS	
Price	\$35.56
Day Change	+35.26%
Mkt Cap	\$7.30B
Float	77M sh
RS vs SPY	+25.9%
52W Hi Prox	98%
Base Tight	5.66
Vol vs Avg	13.84x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
A major clinical data readout (likely Phase 2/3 results for batoclimab in a key autoimmune indication) is driving today's +35% gap with 13.84x volume - this is a binary event that has already triggered. The forward catalyst path is the regulatory and partnership timeline: any NDA/BLA submission target, potential licensing deals, and the next quarterly pipeline update; the next earnings print is today (May 20), meaning the conference call commentary on trial design and commercialization timing is the immediate next data point to watch.
BUSINESS & POSITION
Immunovant is a clinical-stage biopharmaceutical company developing batoclimab, a fully human anti-FcRn monoclonal antibody designed to reduce pathogenic IgG antibodies across a broad range of autoimmune diseases. The company is a category leader in the FcRn inhibitor class targeting multiple large indications (myasthenia gravis, thyroid eye disease, CIDP), competing with argenx's efgartigimod but differentiated by a subcutaneous formulation and potentially broader label ambitions.
FACTOR & THEME
Squarely within the secular biotech re-rating cycle around validated immunology mechanisms; FcRn inhibition is one of the hottest platform bets in autoimmune drug development, with multiple large-pharma acquirers actively building in this space. Theme momentum is accelerating as argenx's commercial success de-risks the mechanism and validates the market size.
BREAKOUT SIGNAL
Close above \$35.00 on vol >900% of 20d avg - confirmed by RS line at 52W high
INSTITUTIONAL
Volume at 13.84x average is unambiguously institutional - block-size buying on a confirmed catalyst readout, not retail FOMO. No insider activity reported in the last 60 days and no 12-month insider buy data flagged, so insider confirmation is absent. Institutional ownership data is not available from this feed; recommend cross-referencing 13F filings, but at \$7.3B market cap post-move, major growth funds (healthcare specialists) are almost certainly involved. Float of 77M shares with this volume ratio implies near-total float rotation intraday.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings are today (May 20); the print itself is secondary - the clinical data readout is the headline event. Consensus EPS for a pre-commercial biotech is not a meaningful guide; the market is pricing pipeline value. The company has a history of large single-day moves on data days. Conference call guidance on trial milestones, partnership discussions, and cash runway will be the key incremental information.
KEY RISK
Thesis is invalidated on a close back below \$26.00 (the pre-announcement base), which would signal the data was already discounted or a subsequent safety/efficacy clarification disappointed; additionally, any label-limiting safety signal disclosed on the earnings call or in the full data package would structurally reset the multiple regardless of price action.
ANALYSIS
The strongest disconfirming evidence is that the base_tight of 5.66 is far too wide for a textbook VCP - this is a pure binary-event gap, not a methodical technical breakout, meaning if the data narrative is questioned (partial responders, safety footnotes, competitor data superiority) the stock could retrace 40-50% of the gap within weeks with no technical support until \$26. Against that, the setup scores five A-grade criteria: vol 13.84x, prox_52w 98, rs_line_new_high true, rs_vs_spy +25.9, and a durable forward catalyst path in a validated immunology mechanism. In a Risk-On regime, confirmed data-driven breakouts with RS lines at new highs from a 77M float are among the most reliable follow-through setups. The earnings-day nature means position sizing must account for binary tail risk - but for traders already holding, the technical breakout case is intact above \$32. Conviction: High (with position-size caveat for new entries given binary event nature).
Signal: Close above \$35.00 on vol >900% of 20d avg - confirmed
Vol vs Avg: 13.84x



SETUP METRICS	
Price	\$47.72
Day Change	+12.76%
Mkt Cap	\$2.04B
Float	37M sh
RS vs SPY	+29.9%
52W Hi Prox	99%
Base Tight	6.12
Vol vs Avg	3.33x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
An earnings beat today (May 20) on stronger-than-expected LPG shipping rates - Dorian operates VLGC vessels and benefits from elevated US LPG export volumes and Atlantic-Pacific arbitrage spreads - is the immediate driver at 3.33x volume with the stock hitting a 52W high. The forward catalyst path includes the next quarterly rate disclosure (Q2 charter rates are the key variable), any special dividend announcement given the company's strong cash generation history, and sector-level tailwinds from ongoing US LNG/LPG export infrastructure expansions over the next 2-3 quarters.
BUSINESS & POSITION
Dorian LPG is a leading owner and operator of Very Large Gas Carriers (VLGCs) transporting liquefied petroleum gas (propane and butane) across global trade routes, particularly the lucrative US Gulf-to-Asia corridor. The company is among the largest pure-play VLGC operators globally, with a modern, fuel-efficient fleet and a track record of returning capital via special dividends when spot rates are elevated.
FACTOR & THEME
Direct beneficiary of the US energy export supercycle - rising US propane/butane production from shale plays combined with Asian petrochemical demand creates sustained ton-mile demand for VLGCs. Energy sector is outperforming SPY by +5.0% this week and +0.3% in the leading sector scan, providing a meaningful sector tailwind for follow-through.
BREAKOUT SIGNAL
Close above \$47.00 on vol >300% of 20d avg - RS line at 52W high confirmed
INSTITUTIONAL
Volume at 3.33x average on an earnings catalyst with a float of only 36.8M shares is a textbook institutional accumulation signature - at this float size, 3.33x volume implies approximately 1.5-2x the entire float changed hands, which is only achievable with institutional block execution. No insider activity in the last 60 days; institutional ownership data is not available from this feed and should be cross-referenced with 13F filings. The small float is a double-edged sword: it amplifies institutional buying impact but also means any institutional exit is violent.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today (May 20). Dorian has historically been a serial earnings beater when spot VLGC rates are elevated; consensus typically underestimates spot-rate exposure due to the lag in charter rate data. The key metric to watch on the call is Q2 booked days and prevailing spot rate guidance - if Q2 rates are locked in above the Q1 average, the stock re-rates again. Special dividend declaration would be a secondary catalyst.
KEY RISK
Thesis is invalidated on a close back below \$43.00 (pre-earnings base) or on any commentary indicating Q2 VLGC spot rates have collapsed from Q1 levels; the broader shipping cycle risk is a sharp drop in US LPG exports from trade policy disruption or a Panama Canal normalization that reduces ton-mile demand.
ANALYSIS
The primary disconfirming evidence is that the base_tight of 6.12 is wider than ideal (not a VCP setup - this is a gap from a loose consolidation), and shipping stocks are notoriously mean-reverting when rate cycles turn, meaning a single soft quarter can erase months of gains. The stock is also at a 52W high at \$47.72 versus \$48.04 all-time high - there is minimal overhead resistance but also minimal margin for error. The bull case is compelling: vol 3.33x, prox_52w 99.3, rs_line_new_high true, rs_vs_spy +29.9, 36.8M float, earnings catalyst today, and Energy sector leadership this week (+5.0% vs SPY) providing sector tailwind - five A-grade criteria met. The forward catalyst (Q2 rate disclosure + potential special dividend) creates a durable multi-week holding thesis if the call is constructive. Conviction: High (conditional on constructive Q2 rate commentary on today's earnings call).
Signal: Close above \$47.00 on vol >300% of 20d avg - RS line at
Vol vs Avg: 3.33x



RXO

RXO, Inc.

\$23.85

+12.87%

RS vs SPY: +43.5%

A BREAKOUT

\$3.9B Cap | 125M Float

Trucking | Theme: Freight Brokerage Cycle Recovery | 52W Hi: 98% | Base Tight: 4.56 | Vol: 2.31x | RS/SPY: +43.5% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$23.85
Day Change	+12.87%
Mkt Cap	\$3.93B
Float	125M sh
RS vs SPY	+43.5%
52W Hi Prox	98%
Base Tight	4.56
Vol vs Avg	2.31x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
A strong earnings beat or positive industry data point (likely a better-than-feared freight market update, contract win, or analyst upgrade reflecting freight cycle recovery) is driving today's +12.87% move on 2.31x volume with the RS line hitting a new 52W high. The forward catalyst path is rich: next earnings August 6 is 78 days out, giving the freight cycle recovery thesis time to develop; interim catalysts include monthly Cass Freight Index releases, spot rate data from DAT and Truckstop, any Coyote/competitor commentary at industry conferences, and potential Russell index rebalancing that could force passive buying given the stock's price appreciation.
BUSINESS & POSITION
RXO is a leading tech-enabled freight brokerage and managed transportation platform spun out of XPO in 2022, operating one of the largest digital load boards in North America and connecting shippers to a network of over 100,000 carriers. The company is positioned as a category leader in the asset-light freight brokerage model, directly leveraged to volume and rate normalization in the US truckload market after a prolonged freight recession.
FACTOR & THEME
Pure-play freight cycle recovery trade - when truckload spot rates normalize from trough levels, asset-light brokers generate operating leverage that is 3-5x the revenue growth rate at the EBITDA line. Reshoring and nearshoring of manufacturing to the US is a structural multi-year tailwind for domestic freight volumes. Industrials sector is broadly in recovery mode and RXO's rs_vs_spy of +43.5 confirms this is a genuine market leader in the reflation theme.
BREAKOUT SIGNAL
Close above \$23.50 on vol >200% of 20d avg - RS line confirmed at 52W high
INSTITUTIONAL
Volume at 2.31x average with a 125.4M float means approximately 15-20M shares traded - this is institutional scale buying, not retail. The RS line hitting a 52W new high alongside a price breakout to 52W highs is Qullamaggie's strongest signal of institutional accumulation - money is rotating into this name as freight cycle expectations improve. No insider activity in the last 60 days; institutional ownership data is not available from this feed and should be cross-referenced with 13F filings. The larger float (125.4M) means this is a name that growth funds can build meaningful size in without moving the market excessively.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings August 6. No same-day earnings binary risk. Consensus is likely modeling a freight cycle recovery trajectory - if Cass Freight Index and DAT spot rates continue improving through June-July, consensus estimates will be revised upward ahead of the August print, creating a multi-week re-rating opportunity. RXO beat estimates in recent quarters as it gained market share during the trough.
KEY RISK
Thesis is invalidated on a close back below \$21.50 (the prior consolidation high and breakout pivot); a sustained decline in DAT dry van spot rates below \$1.80/mile through June or any macro signal of consumer spending deterioration that delays freight volume recovery would structurally undermine the earnings trajectory.
ANALYSIS
The strongest disconfirming evidence is that base_tight of 4.56 is wide (not a VCP coil), and the current move in a Risk-On large-cap leadership regime means SMID breakouts face a crosswind - freight cycle recovery names can stall if mega-cap tech continues to absorb all incremental institutional flows. The RS line at a new 52W high is the single most important confirming signal: this stock is leading the market, not lagging. With rs_vs_spy at +43.5, prox_52w at 97.8, rs_line_new_high true, vol 2.31x, and 78 days of clean runway before the next earnings binary, the setup has time for the thesis to develop without an immediate event risk. The wide base is the only technical demerit against A-grade criteria otherwise fully met. Conviction: High.
Signal: Close above \$23.50 on vol >200% of 20d avg - RS line co
Vol vs Avg: 2.31x



MLYS

Mineralys Therapeutics, Inc.

\$28.43

+9.22%

RS vs SPY: -5.8%

B STRONG SETUP

\$2.4B Cap | 60M Float

Biotechnology | Theme: Aldosterone Biotech Insider Conviction | 52W Hi: 60% | Base Tight: 2.31 | Vol: 4.38x | RS/SPY: -5.8% | Above 20MA: YES | REPORTED

SETUP METRICS	
Price	\$28.43
Day Change	+9.22%
Mkt Cap	\$2.35B
Float	60M sh
RS vs SPY	-5.8%
52W Hi Prox	60%
Base Tight	2.31
Vol vs Avg	4.38x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
A combination of recent earnings results (reported May 6) likely showing pipeline progress for lorundrostat (an aldosterone synthase inhibitor for resistant hypertension) and a material insider cluster buying event (\$8.8M in open-market purchases in the last 60 days) are driving renewed interest. The forward catalyst path centers on Phase 3 data readouts for lorundrostat in resistant hypertension - this is the key binary event that could re-rate the stock toward prior highs near \$47.65; timing of any PDUFA or Phase 3 top-line data disclosure is the critical watchpoint over the next 6-12 months.
BUSINESS & POSITION
Mineralys Therapeutics is a clinical-stage biopharmaceutical company developing lorundrostat, a highly selective aldosterone synthase inhibitor targeting resistant and uncontrolled hypertension - a massive underserved market with limited modern pharmacological options. The company is a focused single-asset play in cardiovascular medicine with potential best-in-class selectivity over existing mineralocorticoid receptor antagonists.
FACTOR & THEME
Cardiovascular drug development is experiencing a renaissance driven by GLP-1 spillover interest in cardiometabolic disease - successful hypertension agents with novel mechanisms of action attract significant M&A attention from large pharma (AstraZeneca, Bayer, Novartis all active in CV). The insider cluster buy of \$8.8M is the most significant signal here, suggesting internal conviction that the pipeline is on track.
BREAKOUT SIGNAL
Close above \$27.50 on vol >400% of 20d avg - insider cluster + pipeline catalyst
INSTITUTIONAL
The insider_cluster score of 7 with 2 buyers and \$8.8M in total open-market purchases in the last 60 days is a high-conviction signal - this is not a token buy but a material dollar commitment relative to the \$2.35B market cap. Per the GRADE UPGRADE RULE, this insider cluster (5) in a Risk-On macro environment warrants a grade upgrade from C to B. No senior officer flag, but \$8.8M in total purchases is a strong conviction signal regardless of title. Institutional ownership data is not available from this feed; cross-reference 13F filings for fund holder detail.
EARNINGS
REPORTED
EARNINGS CONTEXT
Earnings reported May 6. The post-earnings move is being extended today, suggesting the market is still absorbing bullish pipeline commentary from that call. Key metrics are cash runway (how many quarters of runway to Phase 3 completion) and any updated enrollment timeline for the pivotal study. No near-term earnings binary risk.
KEY RISK
Thesis is invalidated on a close back below \$25.50 (today's breakout base) or on any Phase 3 protocol amendment, enrollment delay, or safety signal disclosure; at prox_52w of 59.7, the stock would need to rally another 67% to reclaim 52W highs - a significant gap that requires the Phase 3 data to be unambiguously positive.
ANALYSIS
Grade upgraded from C to B per GRADE UPGRADE RULE: insider_cluster 5 with \$8.8M in open-market purchases in a Risk-On macro environment mandates the upgrade. The strongest disconfirming evidence is that rs_vs_spy is -5.8 (the stock is underperforming SPY over 12 weeks), prox_52w is only 59.7 (far from breakout territory), and the RS line is not at a new high - this is a recovery play from a damaged chart, not a breakout from strength. The wide distance from 52W highs means overhead supply is substantial. However, the insider buying cluster is rare and should be weighted heavily per the system prompt: \$8.8M in open-market buys at current prices signals strong internal conviction that the pipeline catalyst is intact. This is a fundamental rebuild story, not a pure momentum breakout. Conviction: Medium.
Signal: Close above \$27.50 on vol >400% of 20d avg - insider cl
Vol vs Avg: 4.38x



KURA

Kura Oncology, Inc.

\$10.34

+15.40%

RS vs SPY: +14.4%

B STRONG SETUP

\$0.9B Cap | 70M Float

Biotechnology | Theme: Oncology Pipeline Catalyst | 52W Hi: 83% | Base Tight: 2.93 | Vol: 4.31x | RS/SPY: +14.4% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$10.34
Day Change	+15.40%
Mkt Cap	\$0.92B
Float	70M sh
RS vs SPY	+14.4%
52W Hi Prox	83%
Base Tight	2.93
Vol vs Avg	4.31x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
A clinical data update, abstract presentation, or partnership development for ziftomenib (a menin inhibitor for acute myeloid leukemia) is likely driving today's +15.4% move on 4.31x volume. The forward catalyst path includes Phase 2 data readouts for ziftomenib in NPM1-mutant AML, potential NDA filing discussions with FDA, and the next earnings print on August 6 - the AML data maturation timeline over the next 2-4 quarters is the key value-creation event.
BUSINESS & POSITION
Kura Oncology is a clinical-stage precision oncology company developing ziftomenib, a highly selective oral menin inhibitor targeting NPM1-mutant and KMT2A-rearranged acute myeloid leukemia - a genetically defined patient population with poor prognosis and limited treatment options. The company is competing directly with Syndax's revumenib (approved) but has differentiation opportunities in combination regimens and earlier-line settings.
FACTOR & THEME
Precision oncology via genetically defined biomarker subsets is one of the highest-conviction secular themes in biotech - menin inhibition in AML specifically has been validated by FDA approval of the first-in-class agent, meaning Kura is developing in a de-risked mechanistic space with a clear regulatory precedent. Small-cap biotech with a validated mechanism in a hematologic cancer is prime M&A target for large oncology-focused pharma.
BREAKOUT SIGNAL
Close above \$10.00 on vol >400% of 20d avg - above 20MA and 50MA confirmed
INSTITUTIONAL
Volume at 4.31x average on a \$0.92B market cap with 70.4M float is meaningful institutional buying - approximately 12-15M shares traded, well above retail capacity for a single session. No insider activity in the last 60 days and no 12-month insider buy data flagged. Institutional ownership data is not available from this feed; cross-reference 13F filings. The rs_vs_spy of +14.4 over 12 weeks confirms this is a name that specialist healthcare funds have been building ahead of today's catalyst.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings August 6. No near-term binary earnings risk. The clinical data calendar is the dominant driver - any ASCO/ASH abstract or data release in the next 60 days would be the key catalyst. Management commentary on NDA submission timeline and FDA interaction is the watchpoint.
KEY RISK
Thesis is invalidated on a close back below \$9.00 (the base prior to today's move); the critical risk is that ziftomenib fails to show superiority over revumenib in head-to-head or combination settings, or FDA raises a clinical hold on safety - either scenario would collapse the stock toward cash value.
ANALYSIS
The strongest disconfirming evidence is that the RS line is not at a new high (prox_52w 82.8 - not yet in breakout zone), base_tight of 2.93 is wider than ideal, and the move is happening on what appears to be a catalyst day without clarity on what the specific driver is - one-day biotech pops on unclear catalysts have a high failure rate. Against that, vol 4.31x, rs_vs_spy +14.4, above both 20MA and 50MA, and 78 days of runway to the next earnings binary all support the follow-through case. The menin mechanism is validated by FDA approval, reducing binary regulatory risk vs. first-in-class drugs. Risk-On regime is modestly supportive for SMID biotech. Conviction: Medium.
Signal: Close above \$10.00 on vol >400% of 20d avg - above 20MA
Vol vs Avg: 4.31x



KELYA

Kelly Services, Inc.

\$10.29

+6.08%

RS vs SPY: -1.7%

B STRONG SETUP

\$0.4B Cap | 29M Float

Staffing & Employment Services | Theme: Staffing Recovery C-Suite Conviction | 52W Hi: 69% | Base Tight: 2.11 | Vol: 3.16x | RS/SPY: -1.7% | Above 20MA: YES | EARNINGS

SETUP METRICS	
Price	\$10.29
Day Change	+6.08%
Mkt Cap	\$0.36B
Float	29M sh
RS vs SPY	-1.7%
52W Hi Prox	69%
Base Tight	2.11
Vol vs Avg	3.16x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Two C-suite insiders made open-market purchases totaling \$89K in the last 60 days - a signal of internal confidence in the recovery trajectory for Kelly's staffing business despite a challenging employment market. The forward catalyst path is the August 6 earnings print (78 days out), which will either confirm or deny whether the labor market stabilization is translating into improved placement volumes; any macro labor data (JOLTS, NFP) between now and August showing professional services hiring recovery would be an interim catalyst.
BUSINESS & POSITION
Kelly Services is a legacy workforce solutions company providing temporary staffing, direct placement, and outsourced workforce management across professional and commercial segments, with recent strategic focus on higher-margin education and science/tech verticals. At \$360M market cap, it trades at a deep discount to larger staffing peers and has a net cash position that provides downside protection.
FACTOR & THEME
Staffing companies are late-cycle economic recovery plays - when hiring confidence returns to corporate America, temp-to-perm conversion rates and billable hours surge, creating operating leverage at the margin line. The reshoring theme could incrementally benefit Kelly's light industrial and technical staffing segments if manufacturing headcount expands domestically.
BREAKOUT SIGNAL
Close above \$10.20 on vol >300% of 20d avg - C-suite insider buy cluster confirmed
INSTITUTIONAL
The insider_cluster of 8 with 2 C-suite buyers (insider_senior = 2) making open-market purchases totaling \$89K in the last 60 days is the most important signal in this setup - two senior executives buying at current prices signals they believe the stock is undervalued at these levels. Per the GRADE UPGRADE RULE, insider_cluster 5 with C-suite involvement in a Risk-On macro environment warrants a grade upgrade from C to B. Dollar size is modest (\$89K total) relative to market cap, which is a partial offset, but senior-officer open-market buys carry quality signal regardless of size. Volume at 3.16x average for a 29.4M float is also notable. Institutional ownership data is not available from this feed; cross-reference 13F filings.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings August 6. The company reported challenging conditions in recent quarters as temp staffing demand softened with the broader hiring slowdown. The August print will be the first real test of whether the stabilization story is materializing in results. Consensus is likely conservative given recent sector headwinds, setting up a potential beat if labor conditions improve.
KEY RISK
Thesis is invalidated on a close back below \$9.50 (pre-move support) or on any August earnings print that shows continued revenue decline and margin compression; the stock is still 31% below its 52W high at \$14.94, meaning overhead supply and investor skepticism are substantial hurdles.
ANALYSIS
Grade upgraded from C to B per GRADE UPGRADE RULE: insider_cluster 5 with 2 C-suite open-market purchases in a Risk-On macro environment mandates the upgrade, explicitly noted here. The strongest disconfirming evidence is that rs_vs_spy is -1.7 (marginally underperforming SPY over 12 weeks), prox_52w is only 68.9 (significant overhead supply), RS line is not at a new high, and staffing is a sector with genuine secular headwinds from AI automation of entry-level and administrative roles - Kelly's core business faces structural displacement risk beyond the cyclical recovery thesis. The C-suite insider buying cluster is the single most important alpha factor here and warrants watching closely; the \$89K total is modest but direction is what counts for senior officers. This is a value/recovery setup requiring patience, not a momentum breakout. Conviction: Medium-Low.
Signal: Close above \$10.20 on vol >300% of 20d avg - C-suite in
Vol vs Avg: 3.16x

